FREE FINANCING GUIDE

Green & Energy Financing Guide

Why C-PACE Volume Has Surged Past $10 Billion, What Green Agency Loans Add Beyond Rate, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com

PAGE 1

Why Green & Energy Financing Is a Genuine Tool, Not a Niche Add-On

C-PACE and green agency financing exist to treat energy savings and renewable generation as real, underwritable value — not just a compliance checkbox. 2026 data shows this category has grown into a genuinely deep capital source, with record transaction sizes, expanding state authorization, and quantifiable proceeds benefits that go beyond a friendlier headline rate.

- **C-PACE volume has surged into a genuinely deep capital source.** Cumulative C-PACE originations exceeded $10 billion by 2025, up from a record $2.42 billion originated in 2024 alone, and record-setting individual deals now run into the hundreds of millions — including a $465 million office-to-multifamily conversion in Washington, D.C. that closed in January 2026.
- **C-PACE can now cover a meaningfully larger share of the capital stack.** Some programs allow C-PACE to provide up to 45% of total project capital, giving sponsors real flexibility to reset capital stacks in a higher-for-longer rate environment.
- **Retroactive C-PACE has become a genuine rescue-capital tool.** Over 25 states now allow retroactive financing with a look-back period, and Florida removed look-back limits entirely in 2024, letting owners recapture capital already spent on qualifying improvements.
- **Green agency loans offer real, quantifiable upside beyond a friendlier rate.** Fannie Mae's Green Rewards program can add up to 5% more loan proceeds than a standard DUS loan by underwriting a share of projected utility savings directly into net cash flow, plus a free energy and water audit.
- **Program availability keeps expanding geographically.** C-PACE is now enabled in 40 states plus Washington, D.C. — up from just 6 active programs in 2015 — with New Jersey, North Carolina, Idaho, and Hawaii adding programs in 2025 alone.

That said, the category isn't uniformly strong across every platform — 2025 was uneven even as total market volume grew, with one major C-PACE originator seeing volume fall below $400 million and its parent company pausing the platform. C-PACE pricing also runs meaningfully above conventional permanent debt (current all-in pricing near 9% to 9.5%), and senior lender consent is required in practice almost every time, since the assessment sits ahead of the first mortgage in repayment priority.

PAGE 2

2026 Market Outlook for Green & Energy Financing

Green and energy financing enters 2026 with genuinely expanding capacity, led by C-PACE's rapid growth and green agency programs offering measurable value beyond pricing. The following figures outline where the market stands:

- C-PACE pricing runs fixed for the full term, priced off the 10-year Treasury: current all-in pricing sits near 9% to 9.5%, reflecting a spread that has widened from roughly 2 points pre-pandemic to about 4.5 points more recently.

  Source: PeerSense, C-PACE Financing 2026

- C-PACE loan sizing spans a wide range: deals commonly run from $500,000 to $50 million or more, with typical transactions in the $1 million to $15 million range, and terms of 20 to 30 years matched to the useful life of the improvements.

  Source: PeerSense, 2026

- Combined leverage can reach up to 100% of the improvement cost when layered with senior mortgage debt, and some programs now allow C-PACE to represent up to 45% of the total capital stack for certain buildings.

  Source: PeerSense; Commercial Observer, 2026

- Market volume has grown sharply: cumulative C-PACE originations exceeded $10 billion by 2025, following a record $2.42 billion originated across 214 deals in 2024, with record individual transactions now running into the hundreds of millions — including a $465 million office-to-multifamily conversion in Washington, D.C. (January 2026) and a $290 million hotel and residential deal in Tampa (September 2025).

  Source: Commercial Observer, C-PACE Lending Expanding in Size, Scope as Regulations Adjust

- Program availability continues to expand: C-PACE is now enabled in 40 states plus Washington, D.C. — up from just 6 active programs in 2015 — with new programs launching in New Jersey, North Carolina, Idaho, and Hawaii in 2025, and over 25 states now permitting retroactive financing.

  Source: Commercial Observer, 2026

- Fannie Mae's Green Rewards program adds measurable value beyond pricing: it can provide up to 5% more loan proceeds than a standard DUS loan by underwriting a share of projected utility savings into net cash flow, plus a free ASHRAE Level 2-equivalent energy and water audit, provided the property achieves at least a 30% combined reduction in energy or water usage.

  Source: Multifamily.loans, Fannie Mae Green Financing

Bottom line for 2026: Green and energy financing enters 2026 with genuinely deep, fast-growing capital sources — C-PACE cumulative volume has topped $10 billion with record individual transactions now running into the hundreds of millions, and program availability keeps expanding to new states. Retroactive C-PACE has emerged as a real rescue-capital tool for owners resetting capital stacks in a higher-for-longer rate environment. But

PAGE 3

Critical Metrics for Green & Energy Financing

Lenders and program administrators in this category underwrite technical energy performance as closely as the sponsor's credit. The following metrics most often determine whether a request moves forward:

1. **Scope of Work Credibility**

   How detailed and well-supported the energy-improvement or solar scope of work is, since the financing structure is built around the improvements themselves.

2. **Projected Energy Savings or Generation**

   Supported by an energy audit, feasibility study, or engineering report — the technical backbone of the repayment story.

3. **Existing Lender Consent (C-PACE)**

   Because the C-PACE assessment sits ahead of the first mortgage in repayment priority, senior lender consent is required in practice almost every time.

4. **Rate**

   C-PACE pricing is fixed for the full term and moves with the 10-year Treasury plus a lender spread. **~9%–9.5% fixed (C-PACE, priced off 10-year Treasury plus roughly a 4.5-point spread)**

5. **Loan-to-Value / Capital Stack Share**

   Leverage available when C-PACE is combined with senior debt, and how much of the total capital stack it can represent.

   up to 100% of improvement cost combined with senior debt; up to 45% of total capital stack in some programs

6. **Loan Size and Term**

   Practical range and duration most C-PACE programs are built to serve, matched to the useful life of the improvements. **$500K–$50M+ (typical $1M–$15M); 20–30 year terms**

7. **Green Agency Loan Proceeds Boost**

   Additional loan proceeds available through programs like Fannie Mae Green Rewards, tied to a minimum efficiency threshold.

   up to 5% more loan proceeds (Fannie Mae Green Rewards); requires 30%+ combined energy/water reduction

These metrics form the practical filter that separates green and energy financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders and program administrators, confirm:

- [ ] Detailed scope of work and cost estimate for the energy or solar improvements are organized
- [ ] Energy audit, feasibility study, or production estimates are prepared (as applicable)
- [ ] Information on existing property debt and lender(s) is documented
- [ ] Property financials and basic valuation support are current
- [ ] Sponsor financial strength and experience are presented
- [ ] Contractor and equipment information is gathered
- [ ] Clear explanation of how the green financing fits into the overall capital structure is prepared

Common Reasons Green & Energy Financing Requests Underperform or Get Declined

- Existing lender will not consent to a C-PACE assessment
- Scope of work or energy/production estimates that aren't well supported
- Property or existing debt structure that doesn't fit the specific program's requirements
- Sponsor experience or financial strength insufficient for the loan size
- Scope too small to justify the specialized program's costs and process

Final Perspective

Green and energy financing in 2026 has grown into a genuinely deep, fast-expanding category — C-PACE volume has topped $10 billion cumulatively with record individual transactions now running into the hundreds of millions, and green agency programs offer measurable proceeds benefits beyond a friendlier rate. But the market isn't uniformly strong across every platform, and C-PACE's structural quirks — senior lender consent, pricing above conventional debt, and a longer closing process — mean this financing works best when the scope of work and the capital stack fit are genuinely well planned.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing lender consent, an unsupported scope of work, and a capital structure that doesn't clearly account for the green financing are among the most common reasons otherwise solid green and energy requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

K2 Commercial Finance

Investor & Business Loans · k2commercialfinance.com